Advanced Cybersecurity Risk Quantification

Student Name: Faith Mathapelo Letsoara

Registration number: C11/26/CGRC/17582

Cohort /Batch: Cohort 11

Instructor Name: Esther Awuku

Date of Submission: 01/11/2026

Introduction

This report presents a quantitative cybersecurity risk assessment of the SecureMobile banking platform. The purpose of this analysis is to evaluate identified vulnerabilities, estimate their potential financial impact, assess control effectiveness, and provide recommendations that support informed business and security decisions.

Phase 1: Risk Exposure Calculation

Task 1: Annualized Loss Expectancy (ALE)

Vulnerability 1: API Authentication Bypass

Single Loss Expectancy (SLE)

Maximum Incident Loss = **$5,000,000**

SLE = **$5,000,000**

Annual Rate of Occurrence (ARO)

Exploit Probability = **15%**

ARO = **0.15**

Annualized Loss Expectancy (ALE)

ALE = SLE × ARO

= $5,000,000 × 0.15

= **$750,000**

Vulnerability 2: Database Injection

Single Loss Expectancy (SLE)

500,000 Records × $250

= **$125,000,000**

Annual Rate of Occurrence (ARO)

Exploit Probability = **25%**

ARO = **0.25**

Annualized Loss Expectancy (ALE)

ALE = $125,000,000 × 0.25

= **$31,250,000**

Vulnerability 3: Session Hijacking

Single Loss Expectancy (SLE)

5,000 Accounts × $1,500

= **$7,500,000**

Annual Rate of Occurrence (ARO)

Exploit Probability = **40%**

ARO = **0.40**

Annualized Loss Expectancy (ALE)

ALE = $7,500,000 × 0.40

= **$3,000,000**

Task 2: Risk Prioritization Matrix

Vulnerability	SLE	ARO	ALE	Priority
Database Injection	$125,000,000	0.25	$31,250,000	Critical
Session Hijacking	$7,500,000	0.40	$3,000,000	High
API Authentication Bypass	$5,000,000	0.15	$750,000	Medium

Risk Analysis
The Database Injection vulnerability represents the most significant threat to SecureBank Financial. Although Session Hijacking has a higher likelihood of occurrence, the potential impact of exposing 500,000 customer records creates substantially higher financial risk.

Task 3: Risk Visualization Data

The following visualizations provide a graphical representation of the organization's cybersecurity risk exposure based on the calculated Annualized Loss Expectancy (ALE) values

Bar Chart Values (ALE)

Vulnerability	ALE
API Authentication Bypass	$750,000
Database Injection	$31,250,000
Session Hijacking	$3,000,000

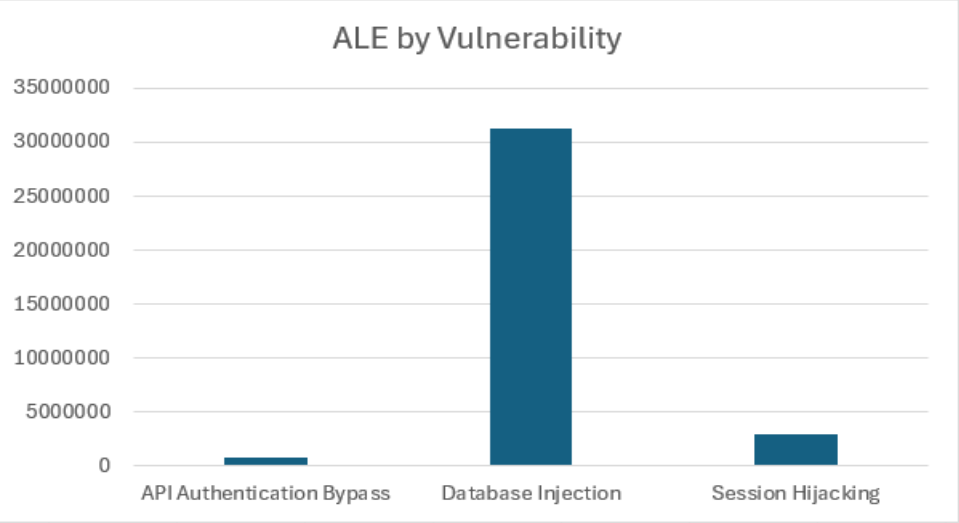


Figure 1: Annualized Loss Expectancy (ALE) by Vulnerability

The chart highlights the potential annual financial losses associated with each identified vulnerability. Database Injection has the highest Annualized Loss Expectancy (ALE) at $31.25 million, indicating the greatest potential financial loss to the organization. Session Hijacking follows at $3 million, while API Authentication Bypass has the lowest estimated loss at $750,000. These findings suggest that Database Injection should be addressed as a priority risk.

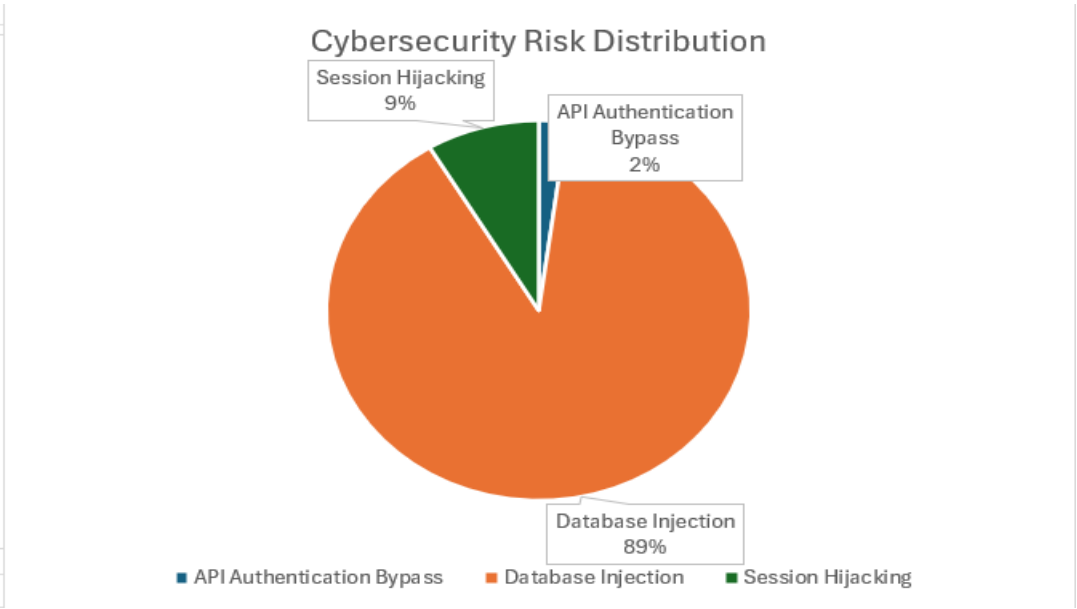


Figure 2: Cybersecurity Risk Distribution

The pie chart shows how the overall cyber risk is distributed across the identified vulnerabilities. Database Injection accounts for 89% of the organization's total risk exposure, making it the most significant cybersecurity threat. Session Hijacking contributes 9% of the overall risk, while API Authentication Bypass represents 2%. These results reinforce the need to prioritize controls that reduce Database Injection risk.

Risk Heat Map

Impact / Probability	**Low**	**Medium**	**High**
High Impact	API Bypass	Database Injection	Session Hijacking
Medium Impact	-	-	-
Low Impact	-	-	-

Phase 2: Control Evaluation

Task 4: Cost-Benefit Analysis

Control 1: Advanced API Security Gateway

Total First-Year Cost

$350,000 + $50,000

= **$400,000**

Risk Reduction

API Risk ALE = $750,000

90% Reduction:

$750,000 × 0.90

= **$675,000**

ROI

($675,000 − $400,000) ÷ $400,000 × 100

= **68.75%**

Payback Period

$400,000 ÷ $675,000

= **0.59 Years**

Control 2: Web Application Firewall (WAF)

First-Year Cost

$150,000 + $25,000

= **$175,000**

Risk Reduction

Database Injection ALE

$31,250,000 × 75%

= **$23,437,500**

ROI

($23,437,500 − $175,000) ÷ $175,000 ×100

= **13,293%**

Payback Period

$175,000 ÷ $23,437,500

= **0.007 Years**

Control 3: MFA Enhancement

First-Year Cost

$200,000 + $30,000

= **$230,000**

Risk Reduction

Session Hijacking ALE

$3,000,000 × 95%

= **$2,850,000**

ROI

($2,850,000 − $230,000) ÷ $230,000 ×100

= **1,139%**

Payback Period

$230,000 ÷ $2,850,000

= **0.08 Years**

Task 5: Control Selection Analysis

Control	Cost	Effectiveness	ROI
API Security Gateway	$400,000	90%	68.75%
WAF	$175,000	75%	13,293%
MFA Enhancement	$230,000	95%	1,139%

Analysis

The WAF delivers the highest overall ROI because it mitigates the Database Injection vulnerability, which carries the organization's largest financial exposure.

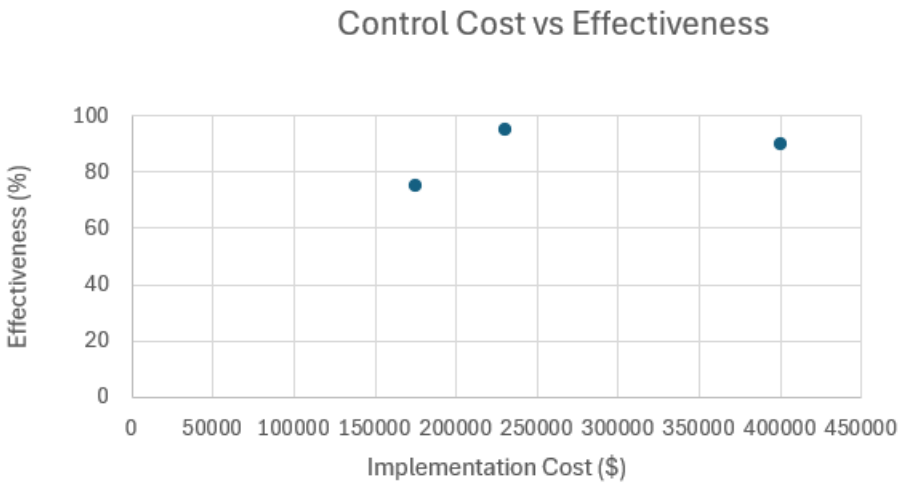


Figure 3: Control Cost vs Effectiveness

Analysis

The scatter plot compares the cost of implementing each security control against its expected effectiveness in reducing cybersecurity risk.

Multi-Factor Authentication (MFA) provides the highest effectiveness at 95% while maintaining a moderate implementation cost. The API Security Gateway also offers a high level of protection but requires the greatest financial investment. The Web Application Firewall (WAF) is the least expensive option but delivers lower effectiveness. These findings suggest that MFA offers the best balance between cost and security effectiveness.

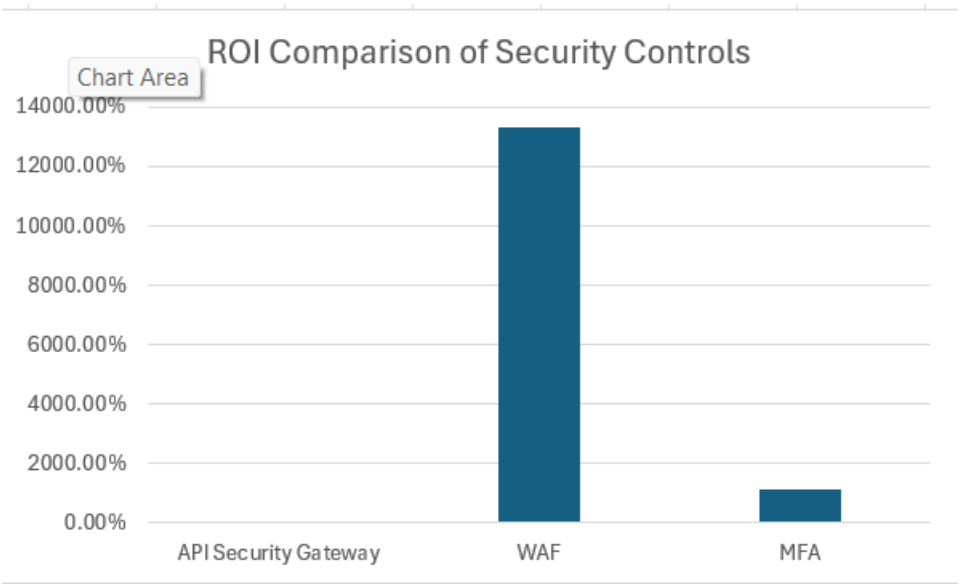


Figure 4: ROI Comparison of Security Controls

Analysis

The ROI comparison highlights the financial value of each security control relative to its implementation cost. The Web Application Firewall (WAF) provides the highest return on investment because it addresses the Database Injection vulnerability, which represents the organization's largest source of potential financial loss. MFA also delivers a strong return while maintaining high effectiveness. Although the API Security Gateway improves security, its return on investment is lower due to its higher implementation cost.

Phase 3: Executive Reporting

Executive Dashboard

Top Risks

1. Database Injection

- Financial Exposure: **$31.25 Million**
- Risk Level: Critical
- Recommended Control: Web Application Firewall

2. Session Hijacking

- Financial Exposure: **$3 Million**
- Risk Level: High
- Recommended Control: MFA Enhancement

3. API Authentication Bypass

- Financial Exposure: **$750,000**

- Risk Level: Medium
- Recommended Control: API Security Gateway

Recommended Security Investment

Control	Cost	Risk Reduction
WAF	$175,000	$23,437,500
MFA Enhancement	$230,000	$2,850,000
API Security Gateway	$400,000	$675,000

Total Security Investment

$400,000 + $175,000 + $230,000

= $805,000

Total Risk Reduction

$675,000 + $23,437,500 + $2,850,000

= $26,962,500

Net Benefit

$26,962,500 − $805,000

= $26,157,500

Strategic Recommendations

Immediate Actions (0-30 Days)

1. Deploy a Web Application Firewall to mitigate database-based attacks.
2. Conduct emergency remediation of database injection vulnerabilities.
3. Implement enhanced monitoring for suspicious database activity.

Short-Term Actions (30-90 Days)

1. Deploy MFA enhancements for all customers.
2. Strengthen session management controls.
3. Conduct penetration testing validation.

Long-Term Actions (90 Days-1 Year)

1. Implement Advanced API Security Gateway.
2. Conduct regular vulnerability assessments.
3. Establish continuous security monitoring and reporting.

Risk Treatment Timeline (Gantt Summary)

Activity	0-30 Days	30-90 Days	90 Days-1 Year
WAF Deployment			
Database Remediation			
MFA Rollout			
Penetration Testing			
API Security Gateway			
Continuous Monitoring			

Bonus Challenge

Current Risk Exposure

Total ALE:

$750,000 + $31,250,000 + $3,000,000

= **$35,000,000**

Residual Risk After Controls

API Residual Risk:

$750,000 × 10%

= $75,000

Database Residual Risk:

$31,250,000 × 25%

= $7,812,500

Session Residual Risk:

$3,000,000 × 5%

= $150,000

Total Residual Risk

$75,000 + $7,812,500 + $150,000

= **$8,037,500**

Total Risk Reduction

$35,000,000 − $8,037,500

= **$26,962,500**

Conclusion

This assessment identified Database Injection as the most critical cybersecurity risk facing SecureBank Financial, with an estimated Annualized Loss Expectancy of $31.25 million. While Session Hijacking presents a higher probability of exploitation, its financial impact is significantly lower than a large-scale customer data breach. The recommended control strategy combines a Web Application Firewall, Multi-Factor Authentication enhancements, and an Advanced API Security Gateway, resulting in a total risk reduction of approximately $26.96 million. Based on the financial analysis, the Web Application Firewall provides the strongest return on investment and should be prioritized for immediate implementation. Overall, the

proposed security controls offer substantial protection against business loss while delivering a clear financial justification for executive approval.